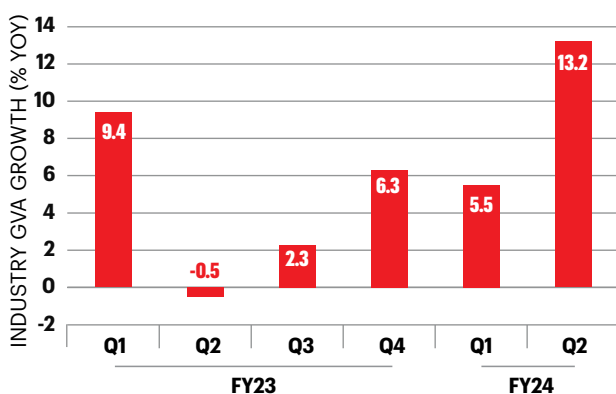
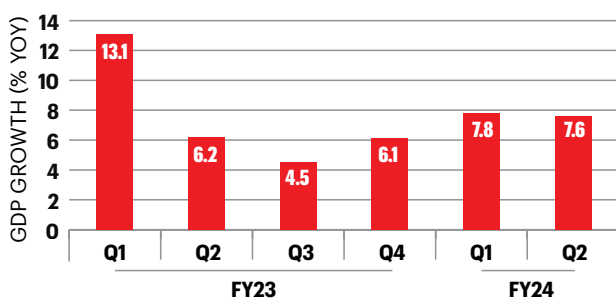


PLEASANT SURPRISE

► The country's GDP grew at a higher-than-anticipated 7.6 per cent in Q2FY24

► Growth may slow in the second half of the fiscal year

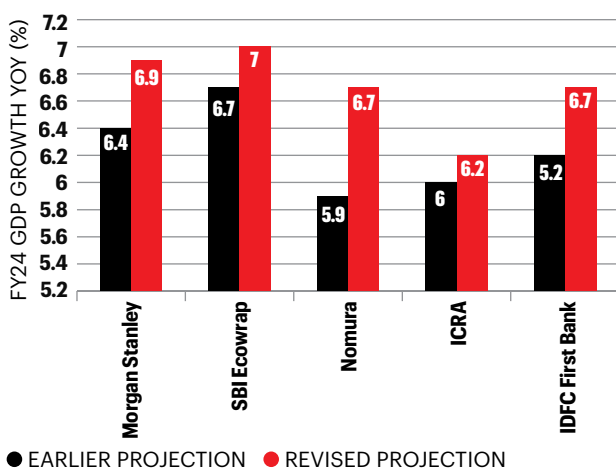


SOURCE: NSO, SBI ECOWRAP

UPWARD REVISION

► Most private agencies now expect FY24 GDP growth to be higher than the 6.5 per cent official estimate

► The government may also rework the estimates



Stanley revised its GDP growth forecast for the fiscal to 6.9 per cent from 6.4 per cent. "The GDP print has surprised on the upside for three consecutive quarters, indicating underlying strength in certain pockets of the economy. High-frequency data exhibit strength: real GST collections are tracking at 9.6 per cent and real credit growth at 13.7 per cent in the calendar year to date 2023; PMIs have been above the 50-mark since July 2021," it noted while maintaining its growth forecast at 6.5 per cent for FY25. A reading above 50 in the purchasing managers' index, or PMI, compiled by financial services major S&P Global, indicates expansion, and a reading below that threshold indicates contraction.

SBI Group Chief Economic Advisor Soumya Kanti Ghosh said the overall growth in FY24 would be around 7 per cent, assuming 6-6.2 per cent growth in the second half of the fiscal.

"Though there are chances that it may cross the 7 per cent mark in FY24," he said in an SBI Ecwrap research report.

Growth in gross fixed capital formation (GFCF), a bellwether of investments, was at a robust five-quarter high of 11 per cent YoY in Q2, while government spending rose by 12.4 per cent, which was a 10-quarter high. Analysts believe government spending has been high with its focus on capital expenditure and front-loading ahead of the assembly and general elections.

Significantly, the investment rate, measured as the nominal GFCF-to-GDP, also rose to 30 per cent in the second quarter of the fiscal from 29.1 per cent a year ago. Meanwhile, the fiscal deficit came in at a comfortable 45 per cent of Budget Estimates in the first half of the fiscal, or ₹8.04 lakh crore, indicating that the government continues to have sufficient leg-room to spend.

Union Finance Secretary T.V. Somanathan has also underlined that the fiscal deficit target of 5.9 per cent of GDP for FY24 will be met despite concerns that there may be additional spending ahead of the general elections in 2024. "It is not a snap election. We knew it was an election year," he said recently.

But pockets of concern remain, and the consensus is that growth will slow down in the second half of the fiscal. "Overall, headline GDP has surprised positively, but the government appears to be in the driver's seat—both for consumption and investment. Private consumption and private capex remain weak, in our view. Lower commodity prices are also a major tailwind, as they have pushed up the bottom line (profits) amid slowing top line (sales), implying a major growth tailwind due to terms of trade," Sonal Verma and Aurodeep Nandi, economists at Japanese